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Case Number: 25STCV37078 Hearing Date: September 10, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: September

10, 2026 TRIAL

DATE: Not set

CASE: Joshua Higgins v. D

and T Restaurants Inc., et al.

ASE NO.: 25STCV37078

DEFENDANTS'

MOTION TO COMPEL ARBITRATION

MOVING PARTY: Defendants

D and T Restaurants, Inc., et al.

RESPONDING PARTY: Plaintiff Joshua

Higgins

I. BACKGROUND

On December 17, 2025, Plaintiff,

Joshua Higgins, commenced this employment action against Defendants, D

and T Restaurants, Inc., Carlos Valle, and Rosalia Lomeli.

On April 21, 2026, Plaintiff filed the First Amended Complaint against Defendants, asserting various claims under the Labor Code, FEHA, UCL, and common law.

On May 28, 2026, Defendants filed this motion to compel arbitration.

On August 27, 2026, Plaintiff filed an opposition.

On September 2, 2026, Defendants filed a reply.

II. LEGAL STANDARD

Under California law, public policy favors arbitration as an efficient and less expensive means of resolving private disputes. (Moncharsh v. Heily & Blase (1992) 3 Cal.4th 1, 8-9; AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 339 (Concepcion).)

Similarly, the Federal Arbitration Act (FAA) reflects a liberal federal policy favoring arbitration and the fundamental principle that arbitration is a matter of contract. (Concepcion, 563 U.S. at p. 339.) In line with these principles, courts

must place arbitration agreements on an equal footing with other contracts and enforce them according to their terms.

(Ibid.) “[U]nder both the FAA and California law, ‘arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.’”

(Higgins v. Sup. Ct. (2006) 140 Cal.App.4th 1238, 1247.) Accordingly, whether an agreement is governed by the California Arbitration Act (CAA) or the FAA, courts resolve doubts regarding the scope of arbitrable issues in favor of arbitration. (Moncharsh, 3 Cal.4th at p. 9; Comedy Club, Inc. v. Improv West Assocs. (9th Cir. 2009) 553 F.3d 1277, 1284.)

While the arbitration agreement may be governed by the FAA, the agreement may be enforced via the summary procedures provided by California arbitration law. (Rosenthal v. Great Western Financial Securities Corp. (1996) 14 Cal.4th 394, 409-410.) It is a “general and unassailable proposition . . . that States may establish the rules

of procedure governing litigation in their own courts,” even though the controversy is governed by substantive federal law. (*Felder v. Casey*, (1988) 487 U.S. 131, 138.) By the same token, however, a state procedural rule must give way “if it impedes the uniform application of the federal statute essential to effectuate its purpose, even though the procedure would apply to similar actions arising under state law.” (*McCarroll v. L.A. County etc. Carpenters*, (1957) 49 Cal.2d 45, 61, 62.)

A party to an arbitration agreement may seek a court order compelling the parties to arbitrate a dispute covered by their agreement. (Code Civ. Proc., § 1281.2.) California statutes create a “summary proceeding” for resolving petitions or motions to compel arbitration. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

When a party has filed a petition to compel arbitration, the trial court must determine in a summary proceeding whether an “agreement to arbitrate the controversy exists.” (Code Civ. Proc., §§ 1281.2, 1290.2; *Rosenthal*, 14 Cal.4th at pp. 412–413.) In that proceeding, because the existence of the agreement is a statutory prerequisite to granting the petition, “[t]he petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.” (*Engalla*, 15 Cal.4th at p. 972; *Rosenthal*, 14 Cal.4th at p. 413.)

The court should grant the motion unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for rescission of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2; *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218-219.)

The trial court typically decides the threshold issues of enforceability of the arbitration agreement and the scope

of issues to be arbitrated. (Aanderud v. Sup.Ct. (Vivint Solar Developer, LLC) (2017) 13 Cal.App.5th 880, 891.)

III. DISCUSSION

There is no dispute there is an arbitration agreement which covers Plaintiff's claims. The sole issue this court must decide is whether the agreement is unconscionable and therefore unenforceable. For the reasons stated herein, the court grants the motion.

A. Applicable Law

The party resisting arbitration bears the burden of proving unconscionability." (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 247 (Pinnacle Museum).) In general, the doctrine of unconscionability refers to "an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party." (Sonic-Calabasas A, Inc. v. Moreno (2013) 57 Cal.4th 1109, 1133 (Sonic) (cleaned up).) In other words, the doctrine consists of procedural and substantive components, "the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." (Ibid.)

If unconscionable, the arbitration agreement is not a valid contract and therefore is unenforceable. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.)

Both components of unconscionability must be present to invalidate an arbitration agreement, but they need not be present in the same degree. (Id.) "Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (Ibid.)

1. Procedural Unconscionability

"In general, California law allows oppression to be

established in two ways. First, and most frequently, oppression may be established by showing the contract is one of adhesion.” (Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc. (2015) 232 Cal.App.4th 1332, 1348 (Grand Prospect).) “An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power on a take-it-or-leave-it basis. Arbitration contracts imposed as a condition of employment are typically adhesive” (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126 (OTO) (cleaned up).)

“In the absence of an adhesion contract, the oppression aspect of procedural unconscionability can be established by the totality of the circumstances surrounding the negotiation and formation of the contract.” (Grand Prospect, 232 Cal.App.4th at p. 1348.) “Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice.” (Davis v. TWC Dealer Group, Inc. (2019) 41 Cal.App.5th 662, 671.) “The circumstances relevant to establishing oppression include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney.” (OTO, 8 Cal.5th at pp. 127-28, quoting Grand Prospect, 232 Cal.App.4th at p. 1348, fn. omitted.) When there is no other indication of oppression other than the adhesive aspect of an agreement, the degree of procedural unconscionability is low. (Serpa v. California Surety Investigations, Inc. (2013) 215 Cal.App.4th 695, 704.)

Here, it is not reasonably in dispute that the arbitration agreement is adhesive. The arbitration agreement expressly states that it is a “mandatory condition of employment” and is silent as to whether Plaintiff could decline arbitration while remaining employed. (Macias Decl., Ex. C, p. 1.)

The real question is whether Plaintiff establishes more than a low level of procedural unconscionability. Plaintiff argues the circumstances demonstrate a substantial degree of oppression. In support, Plaintiff offers his declaration to wherein he states the following: Plaintiff is autistic and, because he is autistic, he has difficulty evaluating and understanding documents, particularly in social situations in which he is expected to act immediately, and he needs

time to process information in order to understand it (Higgins Decl., ¶¶ 3-4); Plaintiff first remembers seeing an arbitration agreement in 2023 among other employment-related documents and was asked to sign them immediately (Higgins Decl., ¶ 6); in 2024, Plaintiff was presented with additional employment-related documents to sign, signed the documents, but did not know that any of those documents was an arbitration agreement and did not understand that he was agreeing to arbitration (Higgins Decl., ¶¶ 7-8); Plaintiff does not remember anyone explaining an arbitration agreement to him in 2024, nor giving him additional time to review or understand an arbitration agreement, despite having difficulty to process and evaluate documents because of his autism (Higgins Decl., ¶¶ 8-10); Plaintiff does not remember Defendants giving him an opportunity to negotiate any of the terms of the Arbitration Agreement (Higgins Decl., ¶ 12).

In sum, the court finds a moderate level of unconscionability. Plaintiff establishes he is autistic which affects his ability to process information. However, Plaintiff does not establish the presence of oppression considering that he does not remember the circumstances surrounding the 2024 arbitration agreement. By all accounts, Plaintiff accessed the agreement from a computer, viewed it for 53 seconds, then signed it electronically. (See Macias Decl., ¶ 10.) However, that Plaintiff viewed the 2024 arbitration agreement for only 53 seconds before signing it does not shed any light on the matter. The short time elapsed could mean Plaintiff was pressured to sign the agreement without meaningful review. Or it could mean that Plaintiff simply chose not to meaningfully review the document before signing it. In any event, the court is unable to conclude anything more than a moderate level of oppression from Plaintiff's showing.

2.¿ Substantive Unconscionability

Assessing substantive unconscionability, courts generally focus on the terms of the agreement and look for terms that are overly harsh or one-sided such that they shock the conscience. (Nyulassy v. Lockheed Martin Corp. (2004) 120 Cal.App.4th 1267, 1281; see also Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 910-911 (clarifying various definitions—e.g., “shocks the

conscience,” “unduly oppressive,” “unreasonable favorable” mean same thing).”²
The “paramount consideration” is mutuality of the obligation to arbitrate.³ (Nyulassy,
120 Cal.App.4th at pp. 1281, 1287.)⁴⁵⁶⁷⁸⁹¹⁰

“Substantively unconscionable
terms may take various forms, but may generally be described as unfairly
one-sided. One such form, as in *Armendariz*, is the arbitration
agreement’s lack of a modicum of bilaterality, wherein the employee’s claims
against the employer, but not the employer’s claims against the employee, are
subject to arbitration. [Citation.] Another kind of substantively unconscionable
provision occurs when the party imposing arbitration mandates a
post-arbitration proceeding, either judicial or arbitral, wholly or largely to
its benefit at the expense of the party on which the arbitration is imposed. In
determining unconscionability, our inquiry is into whether a contract provision
was unconscionable at the time it was made.”¹¹ (Sonic, *supra*, 57
Cal.4th at pp. 1133-34 (cleaned up).)¹²

Plaintiff argues the agreement is
substantively unconscionable in three ways: (1) the confidentiality provision
unfairly favors Defendant; (2) the fees-and-costs provision is unconscionable;
(3) the injunctive-relief provision lacks mutuality.

The first argument is meritorious. The confidentiality provision states:

Neither the Parties nor the Arbitrator
may disclose the existence, content or results of any arbitration under this
Arbitration Agreement without the prior written consent of all Parties, except
that disclosure may be made in the following circumstances: (a) if required by
law; (b) to the Parties respective spouses, officers, insurers and legal and
tax advisors; and (c) in connection with an application made to a court to
enforce, vacate or modify an Arbitrator’s award, and in such circumstances, all
pleadings briefs, memoranda and exhibits shall be filed under seal.

(Macias Decl., Ex. C.)

This
arbitration agreement is similar to confidentiality provisions that the Courts
of Appeal in *Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042 and *Hasty*
American Automobile Association of
Northern California, Nevada & Utah (2023) 98 Cal.App.5th

1041 found were substantively unconscionable because they prevented a plaintiff from conducting informal discovery. So too here. Defendant does not reasonably dispute that the confidentiality provision is impermissible.

However, the court is not persuaded by Plaintiff's remaining arguments. As to the fees-and-costs provision, it is permissible. It states,

Unless otherwise required by law, fees and costs shall be allocated in the following manner:

a. Each party will initially bear their own costs and attorney's fees, subject to any rulings by the Arbitrator, as authorized or required by law.

b. For all disputes the Blade Organization shall pay the entire cost of the arbitrator's services, the facility in which the arbitration is to be held, and any similar fees and expenses, except that Employee shall contribute towards these costs an amount equal to the then-current filing fee charged for filing a complaint in California Superior Court.

c. Each Party shall be responsible for the costs associated with discovery, except as required by law or the Arbitrator's orders.

d. If any party prevails on a statutory claim which affords the prevailing party attorneys' fees and costs, or if there is a written agreement providing for attorneys' fees and costs, the Arbitrator may award reasonable attorneys' fees and costs to the prevailing party. Any dispute as to the reasonableness of any fee or cost shall be resolved by the Arbitrator.

(Macias Decl., Ex. C.)

Contrary to Plaintiff's position, this provision does not require him to surrender statutory rights to recover attorney fees and costs or convert potential recoverable litigation costs into an expense. Plaintiff cites *Mills v.*

Facility Solutions Group, Inc. (2022) 84 Cal.App.5th 1035 for the proposition that an arbitration agreement which reallocates a filing fee is substantively unconscionable because it deprives employees of statutory cost-recovery rights. Mills is distinguishable. The Mills court was confronted with an arbitration agreement which expressly prohibited reallocation of an employee's initial arbitration fee to the arbitration award. As Defendant points out, the agreement here contains no such restriction.

Plaintiff's challenge to the injunctive-relief provision fares no better.

That provision states, "Nothing in this Arbitration Agreement restricts the Parties from seeking temporary injunctive relief from a court of competent jurisdiction, as may be authorized by law. However, all claims covered by this Arbitration Agreement for permanent injunctive relief, damages or any other relief must be sought through arbitration pursuant to this Arbitration Agreement." (Macias Decl., Ex. C.) By its very terms, the provision applies equally to both parties. Further, Plaintiff acknowledges, as he must, that a facially mutual provision is not substantively unconscionable simply because an employer is likelier to invoke it. (See Opp., p. 17:1-6, citing Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1247-1248.)

In sum, Plaintiff establishes a low presence of substantive unconscionability. Because the agreement provides that any offending provisions may be severed and, in this case, would cure the defect, the court will sever the confidentiality provision. With the confidentiality provision severed, there is no substantive unconscionability present in the arbitration agreement to invalidate it as unconscionable. Therefore, the court finds the arbitration agreement is enforceable. The motion to compel is GRANTED.

B.
Stay of Proceedings

Defendants also move to stay proceedings pending arbitration. Code of Civil Procedure section 1281.4 provides that if the court has ordered the arbitration of a controversy, it "shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." Therefore, under section 1281.4,

because the motion to compel arbitration is granted, the motion to stay is GRANTED.

IV.

CONCLUSION

The motion to compel arbitration is Granted. The action is ordered stayed pending completion of arbitration proceedings.¿

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A Status Conference re: Arbitration Proceedings is set for March 10, 2027, at 9:00 a.m.¿ The court orders the parties to initiate arbitration within 90 days and to file a declaration with the court no later than five court days before this date confirming that arbitration has been initiated.

Moving party is ordered to give notice, unless waived.

Dated: September 10,
2026

Brock T. Hammond

Judge of the Superior Court